

this year. Named IVP Semiconductor, it has already initiated discussions with several companies and even sent out catalogues. IVP will operate in a manner akin to TI, NXP, STMicroelectronics, or OnSemi. My company will propose the inclusion of my chips in their overall product designs. These chips will require manufacturing, and I hope IVP can partner with firms like Tata, CDIL, and Kaynes for packaging.

Once we reach a certain threshold, semiconductor fabs will follow. Currently, I will need to procure wafers from Taiwan and Japan. In this way, I've stimulated demand for chips made in India and for local wafer fabrication.

Will white labelling be a part of your plan?

If you take a product and rebrand it as your own, there's no substantial value added. It essentially becomes a trading business. Most OSATs (outsourced semiconductor assembly and test) will not entertain this approach because customers won't allow you to apply their solutions with your brand name.

Some entities that lack a presence in India might permit this with the condition of receiving royalties. I don't perceive this as a viable long-term business model.

Are Indian companies open to purchasing chips from another Indian company? Are there potential concerns about 'quality and price'?

My fundamental philosophy revolves around being a semiconductor specialist. I've been involved in this domain multiple times, learning not only what to do but also what to avoid. We've established the groundwork for how global giants like Foxconn and Tata source components.

The most effective way to guarantee quality is through rigorous

testing, and I am first and foremost a test engineer. When we deliver components, they will be of the highest quality. Our unique selling point lies in our testing capabilities. As for price, IVP won't merely supply components but will consistently work on cost reduction. Initially, operating with slim margins will be our primary strategy. As our operations expand in India, cost advantages will become more pronounced.

Why should Indian companies choose you over the big boys?

Our exclusive focus is on the Indian market. While we won't directly compete with Infineon, STMicroelectronics, or NXP, we acknowledge that most Indian customers currently occupy Tier III positions with these giants.

To us, these Indian customers will be Tier I. We intend to build strong partnerships with our customers, providing better support than what these large corporations typically offer in terms of application and system support. IVP will contribute to the overall design of the product/solution and reduce development costs.

Will the industry giants allow you to carve out your share in the market?

A valid question! Many of these industry giants were my clients during my tenure at Tessolve. I understand their operations, and many have begun recognising India as a substantial market. We are fully aware that we must create a compelling value proposition to establish a foothold in India.

Moreover, as we are exclusively targeting the Indian market, there will be a loss of cost advantages associated with our competitors. Our cost-effectiveness will rise as semiconductor fabs begin to emerge in India. We are also open to collabo-

rating with individuals and institutions. I have a deep understanding of how the industry giants function.

I'm not concerned about competition, which is why we're venturing into this sector in India. Our primary objective is to capture market share initially. There's no business where you start turning a profit from day one.

What if one of these big boys proposes an acquisition of IVP??

My objective is to establish a local company. If one of these industry giants approaches us to become their Indian arm, we would entertain the discussion. I firmly believe that in five years, India will emerge as an export hub for various electronic products such as inverters and EV chargers.

The Indian companies I am collaborating with today are the ones that will catapult me onto the global stage five years from now. This is when the industry giants intend to set up manufacturing facilities in India, much like in China. Hence, it is imperative to create demand in India.

What level of investment do you anticipate for IVP Semiconductor?

Initially, we're looking at an investment ranging from \$20 to \$25 million. Some of my close associates are part of the founding team. We've collectively committed \$5 million to the company. The remainder will be raised, and the advantage we have is that due to my prior ventures, we don't need to actively seek potential investors this time.

In fact, we have a surplus of investors eager to participate in IVP. We'll make that decision thoughtfully and progressively. The potential for an Indian fabless chip company is crystal clear in their minds. This might also eventually contribute to establishing a fabrication facility! **EFY**